



PROCEEDINGS OF THE GOVERNMENT OF KARNATAKA

Sub: Operative Guidelines for Market Development Assistance for participation in international trade fairs and exhibitions to Micro & Small Manufacturing Exporters.

- Read:**
- 1) Government Order No. CI 58 SPI 2013, dated 01.10.2014.
 - 2) Government Order No. CI 63 SPI 2013, dated 15.03.2013.
 - 3) Government Order No. CI 174 SPI 2016, dated 24.06.2016.
 - 4) Addendum No. CI 174 SPI 2016, dated 21.04.2017.
 - 5) Proceedings of the MDA Guidelines revision meeting held on 28.12.2018.
 - 6) Letter from Commissioner, Industrial Development and Director of Industries and Commerce, Bengaluru No. ವಿಚಪಿಸಿ/ಸ.ನಿ-1/ಎಂಡಿಎ/2018-19/297, dated 24.01.2019.

PREAMBLE:

The State Government considers industrial growth as a means to mitigate poverty and unemployment. Development of industry, trade and service sector promotes higher capital formation, improves per capita income level, absorbs surplus work force. To realize these benefits and expedite socio economic changes, the State accords top priority for industrial development. The Industrial Policy 2014-19 aims to enhance the contribution of manufacturing sector to the State GDP from present level of 16.87% to 20% by the end of policy period, read at (1) above. The industrial policy has a vision to enhance the share of exports in GSDP to 60% in the next five years from the present level of 48%. Accordingly various strategies are planned. The State Government has announced Market Development Assistance scheme for the benefit of industrial fraternity.

In the Government Order read at (3) above, Government has accorded approval for the operative guidelines for Market Development Assistance for participation in international trade fairs and exhibitions to Micro & Small Manufacturing Exporters.

Some of the Industrial Associations of the state viz, FKCCI, KASSIA, PIA, CLICK, AWAKE, Export Promotion Agencies & Others have informed the state Government that, on account of certain conditions of

the existing MDA guidelines issued as per Govt. orders read at (3) above and addendum read at (4) above, it is very difficult to avail the eligible subsidy under the scheme and requested the state Government to revise the MDA guidelines. Accordingly, now the Commissioner for Industrial Development and Director of Industries and Commerce, Bengaluru vide letter read at (6) above has recommended the proposal for modifications to MDA guidelines.

Hence the order:

GOVERNMENT ORDER NO. CI 36 SPI 2019, BENGALURU,
DATED 24.07.2019

In the Circumstances as explained in the preamble, Government is pleased to accord approval for the operative guidelines for MDA scheme as modified as under.

1. Participation in International Trade Fairs / Exhibitions

A. Objective:

- i) To encourage Small and Micro manufacturing exporters in their efforts at tapping and developing overseas markets.
- ii) To enhance export from the Small and Micro manufacturing enterprises.

B. Eligibility Criteria:

- i) Small and Micro manufacturing enterprises having valid MSME registration/ Udyog Aadhar Memorandum number and shall have IEC registration.
 - a) First preference for participation in the event shall be given to those qualifying export criteria of FOB value of Rs. 10.00 lakhs per year in preceding two years & for the first time of availing MDA and Rs.50.00 lakhs per year for subsequent instances.
 - b) In case of lack of enough response from "a", potential MSME units interested in exports, qualifying all other conditions shall be considered.
- ii) Shall have obtained VTPC membership.
- iii) Proprietor in case of proprietary firm, any one of the partners in case of partnership firm, any one of the Director in case of limited companies.
- iv) The delegation size shall not exceed 20 numbers and each of the member of delegation shall be eligible to claim the MDA as specified above.

- v) Each member can avail this facility once in a financial year.
- vi) Each member/ Firm is eligible for MDA assistance maximum four times.
- vii) Each member/ Firm can avail the MDA assistance under this scheme for visiting two events in a country and each visit shall not be in the same financial year.

C. Financial Assistance:

- a) **South American Countries:** Assistance up to Rs. 1.75 Lakh with the following component wise cap:
 - i. 75% of the economy air Fare subject to a maximum limit of Rs. 1.00 Lakh
 - ii. 50% of the stall rentals subject to a maximum of Rs. 50,000/- (for women & SC /ST entrepreneurs 100% of stall rentals reimbursement subject to maximum Rs. 75,000/-)
 - iii. 50% of freight charges subject to a maximum of Rs.15,000/.
 - iv. DA of \$ 100 per day for maximum three working days.
- b) **Other countries:** Assistance up to Rs. 1.50 Lakh with the following component wise cap:
 - i. 75% of the economy Air Fare subject to a maximum limit of Rs.75,000/-.
 - ii. 50% of stall rentals subject to a maximum of Rs.50,000/- (for women & SC /ST entrepreneurs 100% of stall rentals reimbursement subject to maximum Rs. 75,000/-)
 - iii. 50% of freight charges subject to a maximum of Rs. 15,000/.
 - iv. DA of \$ 100 per day for maximum three working days.

D. Procedure to avail MDA:

- i) Managing Director, VTPC with the approval of the Commissioner of Industrial Development and the Director of Large and Mega Industries shall finalize the calendar of events in the Month of February.
- ii) Calendar of overseas events shall be published by VTPC on the web portal.
- iii) Calendar of events will be modified as and when required based on the inputs from the associations and trade bodies

with the approval of the Commissioner for Large and Mega Industries.

E. Before the travel:

Before proceeding to participate in any of the approved events/fairs the association/ member/ or firm shall inform the VTPC in writing with the following details;

- a. Company profile/ Delegation profile.
- b. Aadhar details of members
- c. Copy of Import Export Code Certificate (IEC)
- d. Copy of MSME Certificate / Udyog Aadhar Memorandum Certificate.
- e. Category (Women/SC/ST). (if applicable)
- f. Copy of VTPC membership certificate.
- g. Undertaking in the prescribed format.

VTPC shall scrutinize the proposal with the approved events list within one week and issue in-principle approval to participate in the event.

F. MDA Claims:

- i) On completion of participation, the applicant shall claim for MDA within 45 days from the date of completion of event, in the prescribed format along with the documents mentioned in the checklist.

G. Checklist:

- a) Duly filled application form.
- b) Copy of the Partnership deed/ Memorandum of Association/ Articles of Association / Registrar of Company details
- c) CA Certificate for having done exports in the preceding two years
- d) Copy of Passport, VISA and page containing stamping of immigration authority in India and destination country.
- e) Copy of PAN.
- f) Copy of GST.
- g) Copy of Air ticket (Economy Class). (Shortest route fare will be considered from Karnataka to the event place and Back to Karnataka from the event place)
- h) Original Boarding Passes.
- i) Original Hotel bills.
- j) Copy of Original CA Certificate for having incurred the claimed expenditure.

- k) Tour report on the outcome of the visit on the letterhead with signature of the firm/ delegate.

H. Method of Disbursement of MDA:

- i. Managing Director, VTPC shall sanction the MDA assistance according to the provisions laid down in this scheme within 7 days from the date of receipt of complete application.
- ii. The sanction amount would be released directly to Delegate/ Firm's bank account through RTGS depending on availability of funds.

I. Business Delegation

- a) VTPC to organize or participate in 5 flagship International Exhibitions/ fairs annually, which could provide a platform to Trade & Industries in the State for exposure to new technology and markets.
- b) This helps the exporters and to raise to global benchmarks.
- c) This helps VTPC to understand, adopt and have insights of trade and industry in the other countries
- d) This will help for promoting exports by bringing in greater focus to the functioning of VTPC.
- e) Such Business delegation size shall not exceed 20 members. Joint Director, District Industries Centre shall also be given opportunity to be part of such delegation

2. Participation in Domestic Events/ fairs

To encourage small and micro manufacturing units and the artisans the Market Development Assistance will be provided as below;

- a) 100% of economy return air fare subject to a maximum of Rs.10,000/- or 100% reimbursement for II Tier AC by Rail
- b) 100 % of stall rent, up to a maximum of Rs.25,000/-
- c) DA at Rs.1000/- per day for a maximum of 10 days

A. Terms and Conditions;

- a) This provision could be utilized only to participate in the VTPC listed domestic trade fairs and exhibitions.
- b) Shall have obtained VTPC membership.
- c) Proprietor in case of proprietary firm, any one of the partners in case of partnership firm, any one of the Director in case of limited companies.

- d) The delegation size shall not exceed 20 numbers and each of the member of delegation shall be eligible to claim the MDA as specified above.
- e) Each member can avail this facility twice in a financial year.
- f) Each member/ Firm is eligible for MDA assistance maximum four times.
- g) Each member/ Firm can avail the MDA assistance under this scheme for visiting two events and each visit shall not be in the same financial year.

B. Checklist of documents for claiming the Benefit:

- a. Duly filled application form.
- b. Company profile/ Delegation profile.
- c. Copy of the Partnership deed/ Memorandum of Association/ Articles of Association / Registrar of Company details
- d. Aadhar details of members
- e. Copy Udyog Aadhar Memorandum Certificate.
- f. Category (Women/SC/ST). (if applicable)
- g. Copy of Artisan Certificate.
- h. Copy of VTPC membership certificate.
- i. Undertaking in the prescribed format.
- j. Copy of PAN.
- k. Copy of GST.
- l. Copy of Air ticket (Economy Class) with Original Boarding Passes / Rail ticket.
- m. Original Hotel bills.
- n. Original Stall rental receipt.

The existing MDA guidelines vide Government Order read at (3) & Addendum (4) above stands withdrawn.

By Order and in the name of the
Governor of Karnataka,

G. Nagarathnamma.
(Nagarathnamma .G) 24/7/19
Desk Officer (Technical Cell),
Commerce & Industries Department.
24/7

To,

The Director, Government Central Press, Mysore Road, Kengeri, Bengaluru-60 along with two original copies (soft copy also sent to mail ID. gov_suburbanpress@yahoo.in) to publish in the next issue of the Karnataka Gazette and also to provide 25 copies to this office.

1. The Principal Accountant General (G&SSA), Karnataka, New Building, 'Audit Bhawan', Post Box No. 5398, Bengaluru-01.

2. The Principal Accountant General (E&RSA), Karnataka, New Building, 'Audit Bhawan', Post Box No. 5398, Bengaluru-01.
3. The Principal Accountant General (A&E), Karnataka, Park House Road, Post Box No. 5329, Bengaluru-01.
4. Principal Secretary to Government, Finance Department, Vidhana Soudha Bengaluru-01.
5. The Commissioner for Industrial Development and Director of Industries and Commerce, Khanija Bhavan, Bengaluru-01.
6. The Director of Treasuries, State Huzur Treasury, Bangalore.
7. The Managing Director, Karnataka Udyog Mitra, Khanija Bhavan, Bengaluru-01.
8. The Managing Director, Vishveshwara Trade Promotion Centre, BMTc Complex, Shanthi Nagar, K.H. Road, Bengaluru-27.
9. The President, FKCCI, Chamber of Commerce Bldg., K.G.Road, Bengaluru-09.
10. The President, KASSIA, #1/106, 17th Cross, Magadi Cord Road, Vijayanagar, Bengaluru-40.
11. The President, Peenya Industries Association, Peenya Trade Centre Building, 1st cross, 1st stage, Peenya Industrial Estate, Bengaluru-58.
12. The President, CLICK (Through MD, VTPC)
13. President, Association of Women Entrepreneurs of Karnataka, (AWAKE), B-76, KSSIDC Industrial Estate, Rajaji Nagar, Bengaluru-44.
14. The Director (Technical Cell), Commerce & Industries Department, Vikasa Soudha, Bengaluru-01.
15. PS to Minister for Large & Medium Scale Industries, Vikasa Soudha, Bengaluru-01.
16. PS to Principal Secretary to Government, Commerce & Industries Department, Vikasa Soudha, Bengaluru-01.
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